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Subject: We Promised You Buying Opportunities After The Midterms
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We Promised You Buying Opportunities After The Midterms

YARDENI QUICKTAKES

We Promised You Buying Opportunities After The Midterms

By Ed Yardeni & Elias Griepentrog • 5 Nov 2026

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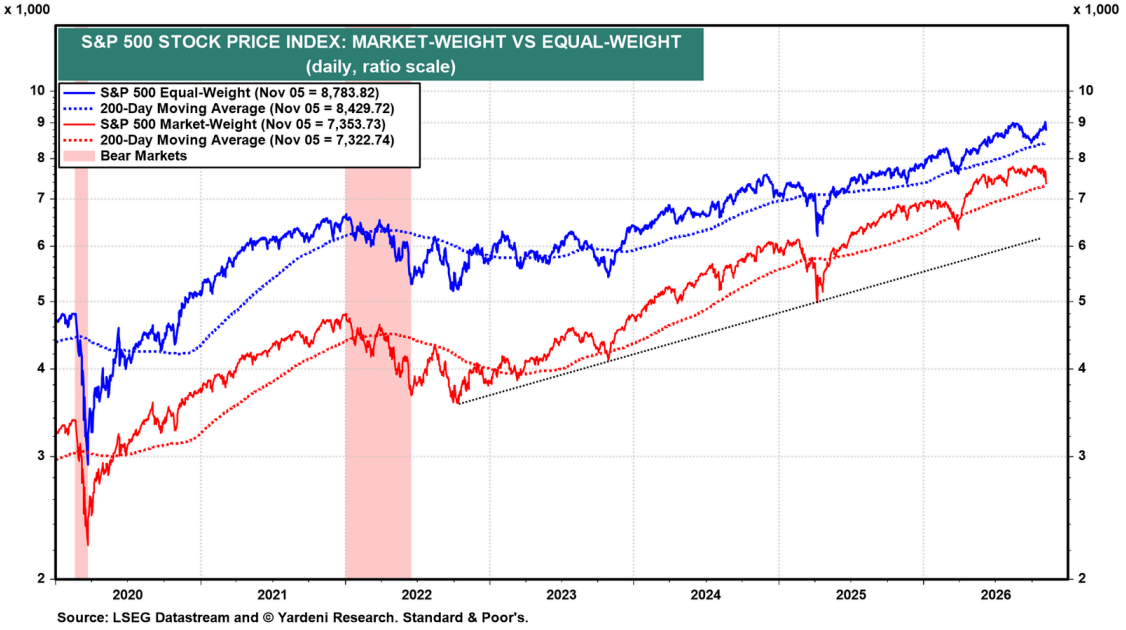


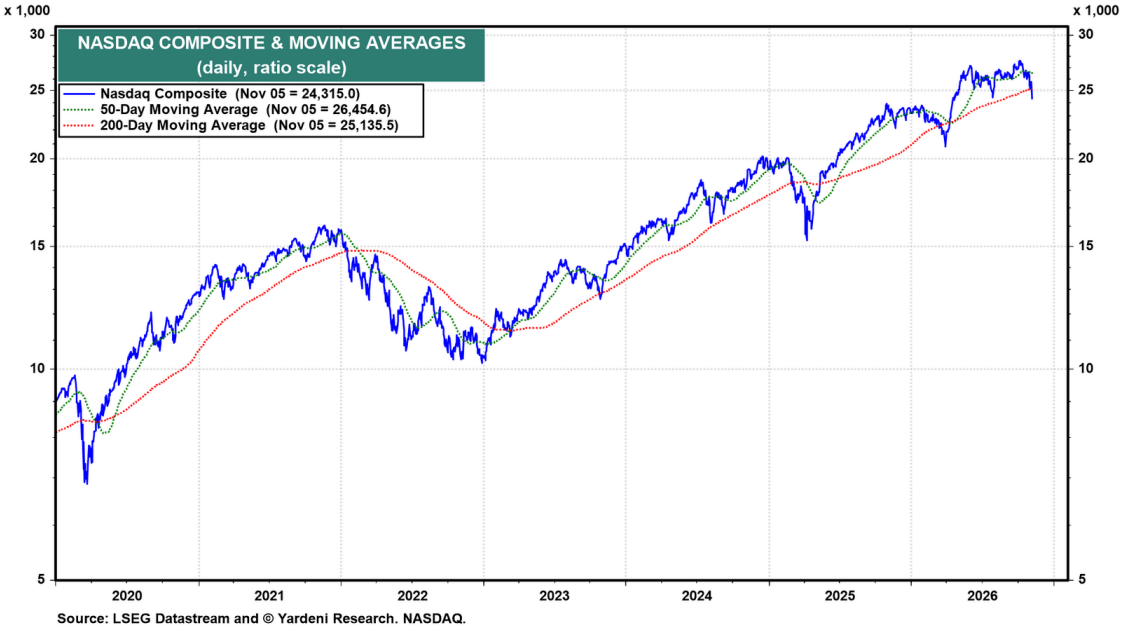
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I. The Delayed Cold Shower

Since September 15, we've counseled proceeding with caution in the stock market through the midterm elections. We anticipated buying opportunities after Tuesday's elections. Stocks rallied on Wednesday. But they plunged today.

The S&P 500 fell 4.4%, its worst day since the April 2025 tariff shock (charts). The Nasdaq composite sank 5.5%, entering correction territory, while the Dow dropped 3.4% and the PHLX Semiconductor index plunged 12.0%. The cold shower we warned might follow a Democratic sweep arrived a day late.



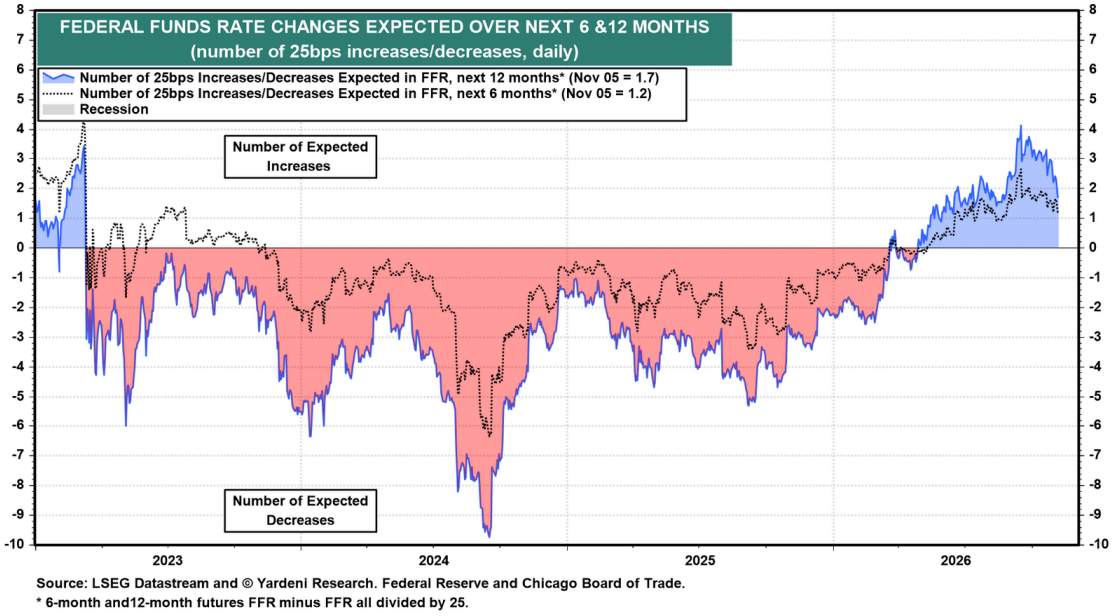


We believe that Wednesday's rally was driven by short covering as two key risks failed to materialize. First, investors feared President Donald Trump might contest close elections, potentially triggering a constitutional crisis. Instead, on Wednesday morning, he acknowledged the Democrats' decisive victory and said he is willing to work with them. Second, investors feared an immediate re-escalation of the war in Iran after the midterms. But oil prices fell sharply on Wednesday on reports that the US and Iran are pursuing a diplomatic solution.

On Thursday, investors began discounting the implications of the Democratic sweep for the economy's golden goose: the AI investment boom.

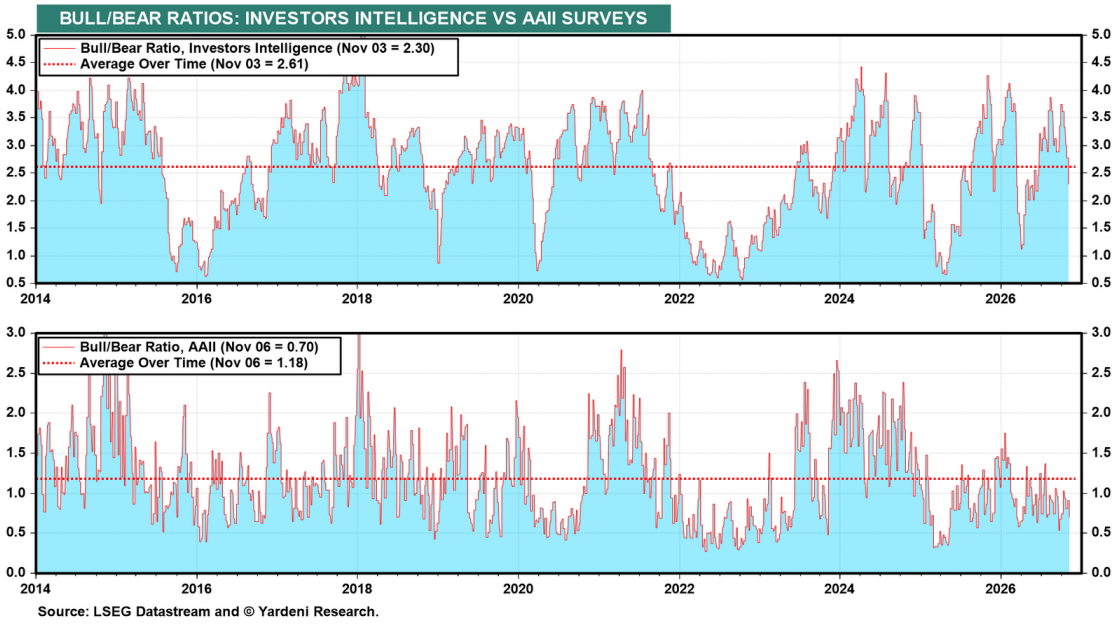
The political backlash against data centers is gaining momentum, with 76% of voters opposing new facilities in their communities, according to NBC exit polls. Perhaps most consequentially, Texas, which accounts for nearly 30% of planned US data center additions in 2028, elected Gina Hinojosa as governor after she promised to halt new approvals. Goldman Sachs estimates that states facing possible restrictions account for roughly 45% of planned US data center capacity. Tougher permitting and higher costs could delay billions in investment and postpone returns for hyperscalers. Given the AI boom's growing importance to economic activity, the implications extend well beyond technology.

As a result, the 10-year Treasury yield fell another 7bps to 4.83% today, reflecting safe-haven demand and fears of weaker economic growth. Investors also pared back Fed tightening expectations, with futures pricing just 1.7 quarter-point hikes over the next 12 months (chart).



We view the political backlash as another constraint on AI investment, alongside financial and physical bottlenecks. But these are speed bumps, not roadblocks, even though Wall Street seems to be pricing in the latter. We think that's overdone. As AI adoption broadens and productivity gains accelerate, demand for compute will keep growing. Data centers will get built, albeit at a slower pace. Speed bumps should prevent the AI boom from moving too fast and crashing around the next curve.

That's why we view Thursday's selloff as a buying opportunity. Our favorite Boom-Bust Ratios likely turned even more bearish after today's selloff (chart). From a contrarian perspective, panic attacks tend to be bullish. Our Roaring 2020s scenario remains on track, and we are sticking with our 7,900 year-end S&P 500 target.

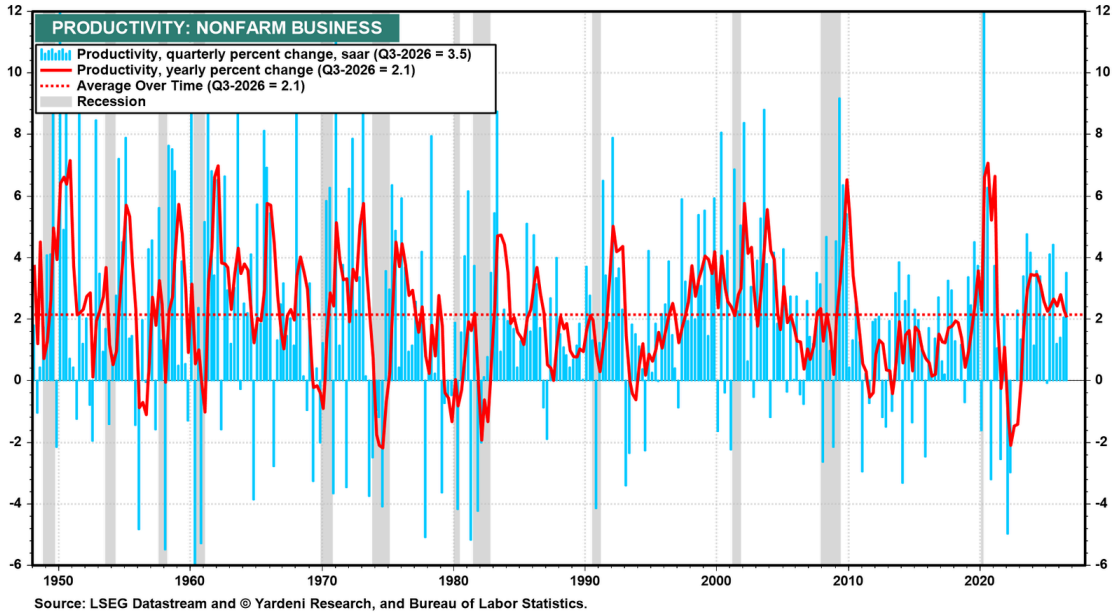


Late-breaking news: Texas Governor-elect Gina Hinojosa was interviewed after the market closed on CNN and said, "All currently permitted data centers in Texas will be allowed to finish construction." This essentially covers all of 2027 and likely most of 2028. She plans to pursue legislation requiring newly permitted data centers to pay taxes, protect consumers from higher power prices, preserve water availability, use union labor, and give "Texans a seat at the table."

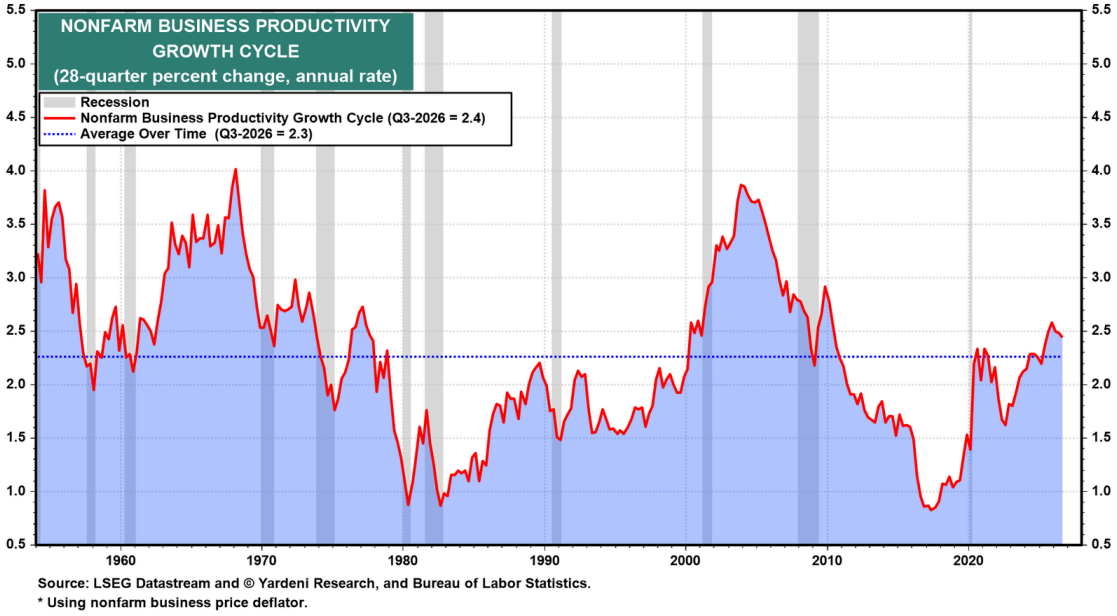
II. On Productivity and Labor Market Conditions

While Wall Street frets about a potential slowdown in the AI investment boom, the latest data show that productivity growth is already accelerating, even as AI adoption remains in its early stages. Here is more:

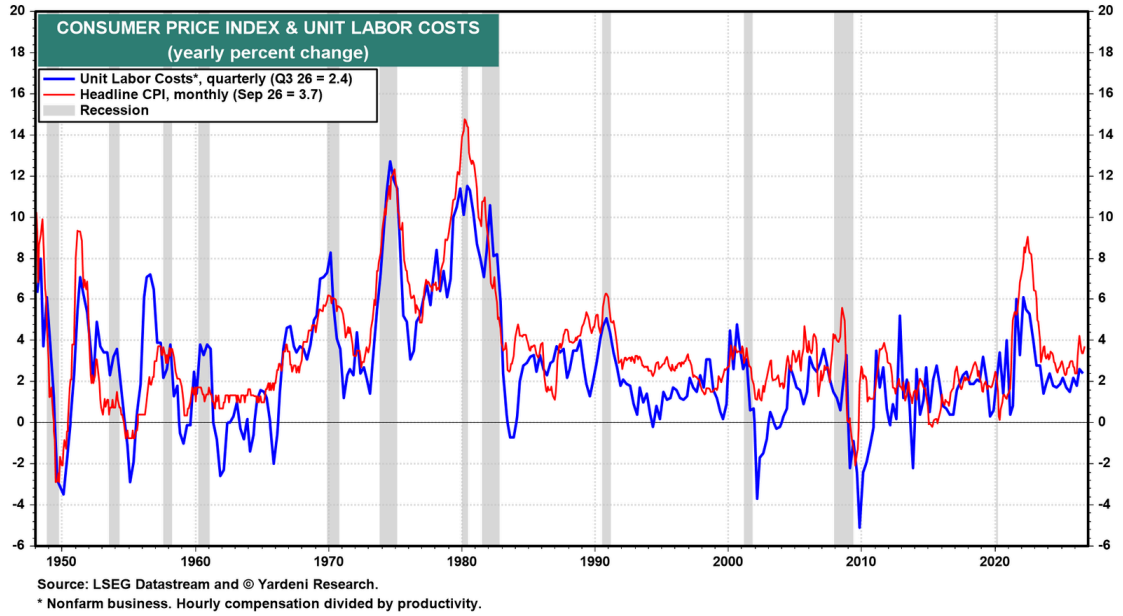
(1) Productivity. Nonfarm business productivity jumped 3.6% q/q (saar) during Q3, the strongest pace since Q3-2025, while rising 2.1% y/y (chart).



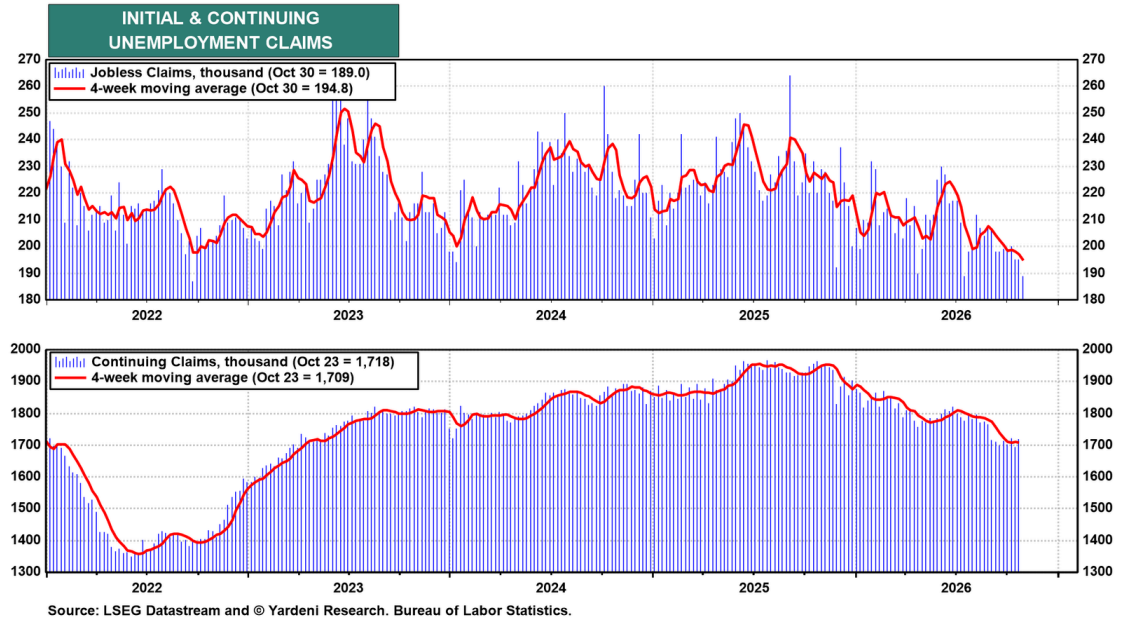
The seven-year productivity growth cycle is increasing by 2.4% annually, exceeding its historical average (chart). In our Roaring 2020s scenario, productivity growth is likely to rise to 3.5%-4.0% over the remainder of this decade.



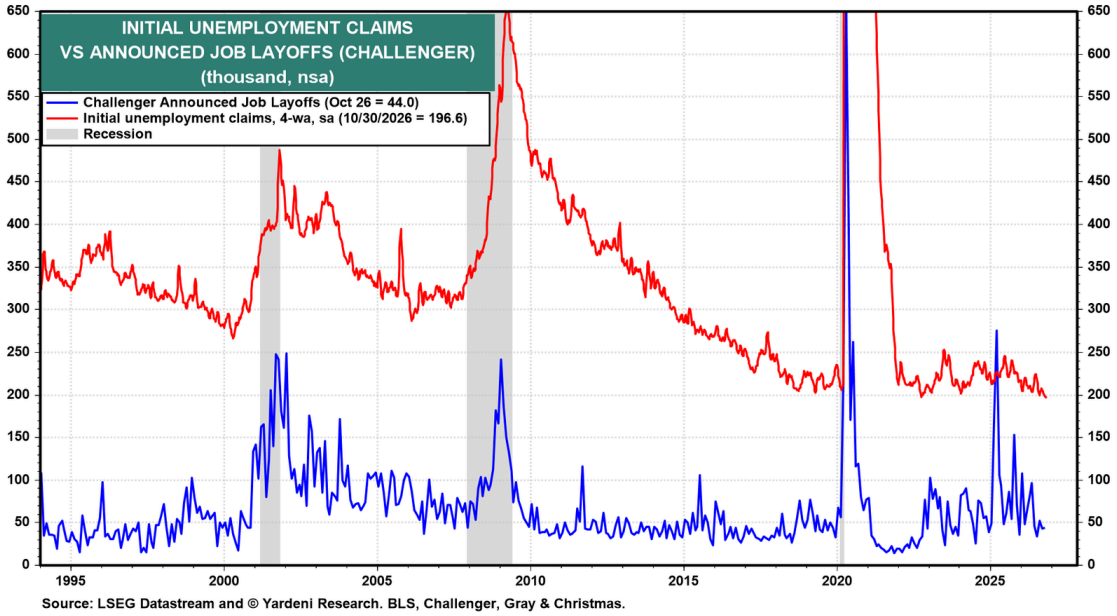
(2) Unit labor costs & inflation. Unit labor costs is measured as hourly compensation divided by productivity. It rose just 2.4% y/y in Q3-2026, reinforcing our view that the labor market is not currently a source of inflationary pressure (chart).



(3) Unemployment claims. Initial jobless claims fell to just 189,000 during the week ended October 31 (chart). The four-week moving average dropped to 194,750, its lowest level since 1969! Continuing claims also remain low. The message is clear: The Fed has little reason to worry about the health of the US labor market.



(4) Layoff announcements. Challenger reported just 44,000 announced job cuts in October, down 71% y/y and the lowest October reading since 2023, reinforcing the message that layoffs remain subdued (chart).



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